

August 28, 2026 11:10 AM GMT

Silergy Corp. | Asia Pacific

Keep UW as 2Q26 gross margin missed, but data center PMIC revenue starts to ramp up

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q26 gross margin miss came from cost pressure. The EPS beat came from a non-op capital gain.
- The company guided that 3Q26 revenue may grow Q/Q, as AI DC revenue can more than offset PC and consumer shortfalls.
- Stay UW – given investors' high expectations regarding analog IC cycle recovery and price hikes, we think Silergy's 2Q GM miss is negative for its stock.

2Q gross margin at 47%, below our 51.5% and consensus of 50.2%L In **The Foundry Floorplan: All boats riding on the same tide – mature node up-cycle begins**, we downgraded Silergy to UW in view of margin pressure from foundry cost hikes and weak consumer demand. Server and optical PMIC exposure remains relatively small. Silergy's 2Q26 GM fell to 47% – it cannot yet pass through foundry costs to non-AI customers.

What's the trend we like from today's earnings call? The company's AI server board PMIC revenue looks to have more than doubled in 1H26, which we think should be ~5%-8% of total revenue (ahead of our 5% forecast). Combining enterprise SSD PMIC and optical modules with power supply-related PMIC, the company stated that AI data center revenue should already be 15%-16% of 2Q26 revenue.

Stay UW: In the same [report](#), we estimated AI server power IC TAM at US\$15bn in 2026, a 50% CAGR over the next two years, rising with global AI demand, which should more than offset weak consumer and smartphone semi demand. We believe Silergy needs to deliver its new SPS (smart power stage) chip to participate in the AI GPU power IC market.

Exhibit 1: Silergy: 2Q26 Earnings Review

(NT\$ mn)	2Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Revenue	6,003	23.5%	31.5%	5,589	5,688
GM (%)	47.0%	-119bps	-445bps	51.5%	50.2%
Opex	(2,080)	6.5%	15.0%	(2,071)	(2,049)
OPM (%)	12.4%	435bps	54bps	14.4%	14.2%
EPS (NT\$)	4.05	107.0%	147.3%	2.07	2.24

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

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Silergy Corp. (6415.TW, 6415 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Underweight
Industry View	Attractive
Price target	NT\$388.00
Up/downside to price target (%)	(15)
Shr price, close (Aug 28, 2026)	NT\$458.00
52-Week Range	NT\$694.00-174.50
Sh out, dil, curr (mn)	395
Mkt cap, curr (mn)	NT\$180,777
EV, curr (mn)	NT\$162,446
Avg daily trading value (mn)	NT\$2,073

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	6.36	10.14	16.47	21.20
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	6.38	10.18	17.09	23.65
Revenue, net (NT\$ mn)	18,812	23,695	28,515	33,920
EBITDA (NT\$ mn)	2,935	4,225	7,469	9,612
ModelWare net inc (NT \$ mn)	2,478	4,000	6,495	8,360
P/E	30.1	45.2	27.8	21.6
P/BV	2.0	4.5	4.0	3.6
RNOA (%)	16.2	18.5	33.8	41.6

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ROE (%)	6.9	10.6	15.9	18.3
EV/EBITDA	19.5	37.9	20.9	15.8
Div yld (%)	1.4	0.9	1.5	1.9
FCF yld ratio (%)**	(1.6)	1.7	2.9	3.8
Leverage (EOP) (%)	(48.6)	(50.9)	(53.4)	(55.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Silergy Corp. (6415.TW)

Base case, residual income model. We assume a cost of equity of 9.5% (2.0% risk-free rate, 6% risk premium, beta of 1.25), an intermediate growth rate of 13.5%, and a terminal growth rate of 4.5%.

Risks to Upside

- Gross margin expansion amid stabilized competition
- A surge in LED demand as pricing drops to the sweet spot
- Greater-than-expected benefits from China's support in local semiconductors
- Higher-than-expected dividend payout ratio

Risks to Downside

- Lower gross margin amid intensified competition
- Weaker-than-expected benefits from China's support in local semiconductors
- Lower-than-expected dividend payout ratio

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Silergy Corp. (6415.TW) - As of 08/28/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 7/7/23 : U/A; 7/21/24 : U/I; 8/28/24 : E/I; 2/13/25 : O/I; 7/14/25 : O/A; 4/21/26 : E/A; 5/19/26 : U/A

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/28/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$80.49
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb367.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,065.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$621.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,046.63
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb58.60
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$6,015.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$972.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$500.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$120.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$396.80
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$270.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,985.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb674.90
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$540.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb697.51
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,150.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb114.50
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$458.00
SMIC (0981.HK)	O (10/21/2025)	HK\$70.15
TSMC (2330.TW)	O (02/07/2022)	NT\$2,420.00
UMC (2303.TW)	O (05/19/2026)	NT\$130.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$153.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$439.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$160.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb60.95
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb96.10
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb34.17
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb245.49
Innoscence (2577.HK)	E (10/13/2025)	HK\$46.28
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb74.93
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.68
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb105.86
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.07
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb62.78
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb26.99
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.43

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$895.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,450.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,630.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$138.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,540.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb115.88
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb396.82
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$126.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$285.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb213.00
Novatek (3034.TW)	U (02/04/2026)	NT\$545.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$122.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$70.00
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$722.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb48.89
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$181.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$100.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb115.01
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb376.88

Henry Zhao

Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb77.39
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Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,365.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$701.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$14.07
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,490.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,030.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$255.08
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,250.00

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* Historical prices are not split adjusted.